IN THE NATIONAL COMPANY LAW TRIBUNAL, AHMEDABAD
COURT - 2

ITEM No.10

CA(CAA)/24(AHM)2023

Proceedings under Section 230-232 of Co. Act, 2013

IN THE MATTER OF:

Dhaman Khol Engineering & Construction Company Private Limited **.....Applicant**
(Transferor Company) **.....Respondent**

Order delivered on 17/05/2023

Coram:

Mr. Deep Chandra Joshi, Hon'ble Member(J)
Mr. Ajai Das Mehrotra, Hon'ble Member(T)

ORDER

The case is fixed for pronouncement of order.

The order is pronounced in open Court vide separate sheet.

SD/-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

SD/-

DEEP CHANDRA JOSHI
MEMBER (JUDICIAL)

THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD BENCH
COURT-II

CA(CAA) No.24/NCLT/AHM/2023

[An Application filed under Section 230-232 of the Companies Act, 2013]

In the matter of:

Dhaman Khol Engineering &
Construction Company Private
Limited
having its registered office at
409, Shyamak Complex,
B/H. Kamdhenu Complex,
Nr. Panjara Pole, Polytechnic,
Ahmedabad, Gujarat – 380015

... Applicant Transferor Company

Order pronounced on 17/05/2023

Coram: Deep Chandra Joshi, Hon'le Member (J)

Ajai Das Mehrotra, Hon'ble Member (T)

Appearance:

Ms. Dharmishta N. Raval, Advocate for the Applicant Companies

ORDER

[Per: BENCH]

1. The present application is filed by Dhaman Khol Engineering & Construction Company Private Limited (hereinafter referred to as 'the Applicant Transferor Company') under sections 230-232 of the Companies Act, 2013 (hereinafter referred to as 'the Act') read with Companies (Compromise, Arrangement and Amalgamations) Rules,

2016 (hereinafter referred to as 'Companies (CAA) Rules, 2016'). By this application, the Applicant Transferor Company is seeking dispensation of the meeting of the Equity Shareholders, meeting of the Secured Creditors and the meeting of the Unsecured Creditors in respect of the Scheme of Amalgamation of Dhaman Khol Engineering & Construction Company Private Limited ('DKEECPL' or 'the Transferor Company') with JSW Investments Private Limited ('JIPL' or 'the Transferee Company') and their respective shareholders ('Scheme'), with effect from the Appointed Date on the agreed terms and conditions as set out in the Scheme, in accordance with Sections 230 to 232 of the Act and other applicable provisions of the Act.

2. The registered office of the Applicant Transferor Company is situated in the State of Gujarat and is under the jurisdiction of the Hon'ble National Company Law Tribunal, Bench at Ahmedabad.

3. The registered office of the Transferee Company is situated in the State of Maharashtra and is under the jurisdiction of the Hon'ble National Company Law Tribunal, Bench at Mumbai. The Transferee Company has filed a similar application for the proposed Scheme with the Hon'ble National Company Law Tribunal, Bench at Mumbai.

4. It is stated that the Scheme is proposed in view of the following circumstances:

   a) Ensuring a streamlined group structure by reducing the number of legal entities in the group;

b) Reducing the multiplicity of legal and regulatory compliances required at present;
c) Eliminating duplicative communication and coordination efforts across multiple entities; and
d) Rationalizing costs by eliminating multiple record keeping and administrative functions.

5. The Board of Directors of the Applicant Transferor Company at its board meetings held on 28th February, 2023 passed a resolution approving the proposed Scheme as placed before the respective Board. Copy of the Board Resolution is annexed with the application. The Applicant Transferor Company has filed its audited balance sheet as on 31st March, 2022 and provisional balance sheet as on 31st December, 2022 and same is annexed with the application. The Applicant Transferor Company has also annexed certificate issued by its respective auditors certifying compliance under Section 133 of the Companies Act.

6. It is submitted by the Learned Counsel for the Applicant Transferor Company that no investigation or proceedings are pending against the Applicant Transferor Company under Section 210 to 226 of the Companies Act, 2013 as well as Sections 235 to 251 of the Companies Act, 1956.

7. It is further submitted that the provisions of clause (c) of Section 5 of the Competition Act, 2002 are not applicable in the present case and the Applicant Transferor Company is not required to issue notice of Combination to Competition Commission of India pursuant to the

exemption provided under Notification No. S.O. 988(E) dated March 27, 2017 read with Notification No. S.O. 1192(E) dated March 16, 2022 issued by the Ministry of Corporate Affairs as neither the value of assets being acquired, taken control of, merged or amalgamated is are more than Rupees Three Hundred and Fifty Crores in India nor the turnover is more than Rupees One Thousand Crores in India. Hence, no notice is required to be served to the Competition Commission of India.

8. It is further submitted by the Applicant Transferor Company that notice to Reserve Bank of India is not required since there is no foreign shareholder in the Applicant Transferor Company.

9. The Applicant Company has stated that there are 3 (Three) Equity Shareholders in the Applicant Company. The list of Equity Shareholders as certified by the Chartered Accountant is produced with the application. The Applicant Company has filed original consent affidavits of all the Equity Shareholders with the application.

10. It is submitted that the Applicant Transferor Company does not have any Secured Creditor as on 28th February 2023 and Chartered Accountant's Certificate is annexed to that effect with the application.

11. The Applicant Transferor Company has stated that there are 3 (Three) Unsecured Creditors as on 28th February 2023. The list of Unsecured Creditors as certified by the Chartered Accountant is attached with

the application. The Applicant Transferor Company has filed original consent affidavits of all the Unsecured Creditors with the application.

12. Considering the entire facts and materials placed on record this Tribunal passes the following orders:

i. The meeting of Equity Shareholders of the Applicant Transferor Company is hereby dispensed with in view of the consent by way of an affidavit from all the Equity Shareholders of the Applicant Transferor Company.
ii. There is no requirement to convene and hold the meeting of the Secured Creditors of the Applicant Transferor Company as there are no secured creditors in the Applicant Transferor Company.
iii. The meeting of Unsecured Creditors of the Applicant Transferor Company is hereby dispensed with in view of the consent by way of an affidavit from all the Unsecured Creditors of the Applicant Transferor Company.

13. In compliance of sub-section (5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, the Applicant Transferor Company shall send a notice in Form No.CAA.3 (i) the Central Government through the Regional Director, North Western Region, (ii) the Registrar of Companies, Gujarat, (iii) the Income Tax authorities concerned with copy to Principal Chief Commissioner of Income Tax having jurisdiction over the Transferor Company, and (iv) the Official Liquidator stating that representations, if any, to be made by them shall be made within a period of 30 days from the date of receipt of such notice, failing which it shall be presumed that they

have no objection to make on the proposed Scheme. The said notices shall be sent forthwith by registered post or by speed post or by courier or by hand delivery at the office of the authority as required by sub-rule (2) of Rule 8 of the Companies (CAA) Rules, 2016. The aforesaid authorities, who desire to make any representation under sub-section (5) of Section 230 of the Act, shall send the same to the Tribunal within a period of 30 days from the date of receipt of such notice, failing which it will be deemed that they have no representation to make on the proposed arrangement.

14. This Company Application is allowed and disposed of accordingly.

SD/-

Ajai Das Mehrotra
Member(Technical)

SD/-

Deep Chandra Joshi
Member (Judicial)

Vaishali PS/Sweta LRA